

Anti-Money Laundering / Anti-Terrorist Financing Policy

NUMBER — Payment Facilitator Program — Internal Use Only — Version 2.0

This policy sets forth NUMBER's framework for preventing money laundering, terrorist financing, and related unlawful activity, and describes the controls NUMBER maintains to prohibit such activities.

Easy Pay Solutions, Inc., DBA NUMBER ("NUMBER") is committed to conducting its business to the highest ethical standards. To that end, NUMBER is committed to preventing the use of the U.S. financial system for money laundering, terrorist financing, and any related unlawful activities.

Document history:

Revision Date	By	Notes
5.18.2022	Sean Fennessy	Document Created
5.25.2022	Sean Fennessy	Revised to reflect Team review
6.14.2023	Sean Fennessy	Revised to reflect Key Bank feedback
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6.15.2023	Sean Fennessy	Final (version 1.0)
05.15.2024	Eric Babcock	2024 Annual Revisions

It is NUMBER policy to at a minimum review its Policies and Procedures for internal purposes on an "as needed" and annual basis as a best practice. Additionally, a review for any updates and revisions may be triggered by external events where required changes/updates are based on but not limited to the following: Card Scheme rules and regulations; Federal, State, and/or Local laws and regulations; Sponsor/Acquiring bank requirements and procedures; Industry Compliance, i.e., PCI, FINCEN, Data and Information Security, Privacy; and others including any Third Parties as deemed necessary by the Executive Management Team.

Note: The policy and procedures are also based on current information available with regards to systems provided by Bank/Fiserv. A review to make updates and revisions may also be triggered by updates or changes to systems provided by Bank/Fiserv.

1. Policy Statement

NUMBER is committed to conducting its business to the highest ethical standards. To that end, NUMBER is committed to preventing the use of the U.S. financial system for money laundering, terrorist financing, and any related unlawful activities. The purpose of this Anti-Money Laundering Policy (this "AML Policy") is to ensure compliance with all legal, regulatory, card network, contractual and ethical obligations of NUMBER in the United States. This AML Policy sets forth a general framework for NUMBER's fight against money laundering and the financing of terrorism and describes the controls that NUMBER maintains to prohibit such activities.

2. Scope

The standards set out in this AML Policy are intended to be the minimum requirements applicable to all NUMBER officers, directors, and employees based on governing legal, regulatory, card network, contractual and ethical requirements. These requirements are intended to prevent NUMBER, its officers, directors, employees, and customers from being inadvertently facilitating or participating in money laundering, terrorists financing, and other financial crime.

In addition, Visa requires member bank to complete the Anti-Money Laundering/Anti-Terrorist Financing (AML/ATF), Sanctions and Anti-Bribery Compliance Program Questionnaire when requested and return the form within the time limit specified by Visa. NUMBER, on behalf of the member bank, will complete and return the Anti-Money Laundering/Anti-Terrorist Financing (AML/ATF), Sanctions and Anti-Bribery Compliance Program Questionnaire should the member bank designate NUMBER to do so.

3. Definition of the Term Money Laundering

Money Laundering is the participation in a transaction or series of transactions that seeks to conceal or disguise the true nature or origin of funds derived from illegal activities, including fraud, corruption, organized crime, terrorism, and similar illegal activities. Generally, there are three "stages" to this process:

- **Placement** — illegally obtained funds are introduced into a legitimate financial system.
- **Layering** — the origin of the illegally obtained funds is disguised through the use of complex transactions (e.g., the funds are moved among several accounts typically by wire, ACH, and other transfers).
- **Integration** — the illegally obtained funds are later integrated into a legitimate financial system through subsequent transactions in a manner that they appear to be legitimate funds.

See VISA Operating Rules at Rule 1.10.1.6

4. Roles and Responsibilities

NUMBER's AML Compliance Officer is Eric Babcock. The AML Compliance Officer is responsible for the daily administration of this Policy, including the following:

- Timely filing the Incident Reporting Form (attached hereto as Appendix A, the "Incident Reporting Form") with NUMBER's sponsor bank, which will be reviewed for the purpose of filing Suspicious Activity Reports ("SAR") and Currency Transaction Reports ("CTR") with the appropriate agencies, as required;
- Creating and retaining proper records in accordance with applicable laws, regulations, and NUMBER's Document Retention Policy;
- Identifying documents for retention in accordance with applicable laws, regulations, and NUMBER's Document Retention Policy;
- Updating NUMBER's AML Policy and related compliance program to ensure consistency with the guidance provided by the U.S. Treasury Department and NUMBER's sponsor bank; and
- Providing ongoing training and education to applicable employees and business partners.

5. Policies and Procedures

All NUMBER officers, directors, and employees are required to comply with the following policies and procedures:

5.1 KYC — Know Your Customer

KYC is intended to enable NUMBER to form a reasonable belief that it knows the true identity of each merchant account owner listed on the merchant application. KYC must include account opening procedures that specify the identifying information that will be obtained when boarding merchant accounts per NUMBER Credit Policy Sect. 4.0. KYC includes:

- Primary identification, i.e., government issued identification and/or
- Electronic identification via approved third-party vendor such as Experian, Equifax, Lexis Nexis, etc. and/or
- Verbal identification with the merchant within acceptable verification guidelines and/or
- **Prohibited Countries:** NUMBER will not accept customers in, or participate in, transactions involving countries subject to United States Department of the Treasury, Office of Foreign Assets Control sanctions. NUMBER and/or its affiliates shall promptly notify Discover Network, or any other card network that shall require such reporting, if it is subject to a noncompliance finding following an enforcement action or penalty issued by OFAC with respect to sanctions.
- **Restricted Persons or Entities:** NUMBER and/or Business Partner's personal credit report to include automated Office of Foreign Assets Control (OFAC) Specially Designated National (SDN) matching. NUMBER's OFAC SDN rescreening is performed at onboarding of new submerchants, daily on all active merchant accounts, and when changes are made to submerchant accounts per triggers listed below, via Acuris and Lexis Nexis using Bank's processor Fiserv and systems. The OFAC SDN listing is maintained by the United States Department of the Treasury, Office of Foreign Assets Control and lists will be updated when changed by OFAC. NUMBER and/or its affiliates shall promptly notify Discover Network, or any other card network that shall require such reporting, if it is subject to a noncompliance finding following an enforcement action or penalty issued by OFAC with respect to sanctions.
- Utility bills for home address verification and/or
- **Politically Exposed Persons (PEPs)** identification using online approved search engines/databases. Politically exposed person/persons with prominent public functions generally includes a current or former senior foreign political figure both domestic/foreign/international that have been entrusted with prominent public functions. Examples of such individuals are Heads of State or government, senior politicians, senior government, judicial or military officials, senior executive of state-owned corporation, important political party officials. Included in the scope of PEPs are close associates who are connected socially or professionally and family members who are related to PEPs either directly, or through marriage or civil forms of partnership.

Business validations:

- Federal/State issued business/professional license and/or
- Internal Revenue Services (IRS) Tax Identification Number (TIN) matching and/or
- Validation of entity type — i.e., sole proprietor, partnerships, corporation or limited liability company, tax exempt organization, government, other, etc. and/or

- Validation of the ownership of business entity and/or
- Phone number validation and/or
- Validation of the nature of goods/services sold by the business entity and/or
- Business credit report (as needed) and/or
- Third party business validation using approved online resources such as online state, federal websites, or reputable third-party resources such as Google, yellow pages, 411, whois.com, bbb.org, etc.

Escalations:

If an identification for AML/OFAC/Sanctions is not ruled out as a false positive after review by an underwriter/analyst, the identification should be escalated to a manager for further review and then to the AML Officer for final determination of whether the account should be declined or closed, and if there is a need to notify and/or send an Incident Reporting Form to Bank. Incident Reporting Forms shall be provided by the AML Compliance Officer to Member Bank's SAR Unit. The Incident Reporting Form should be emailed to: KeyBankOversight@Keybank.com

Effective May 11th, 2018, NUMBER and its Business Partners are required to identify and verify the identity of the beneficial owners of all legal entity customers. It also requires the implementation of a risk based, event-driven update to beneficial ownerships as part of normal risk monitoring (Fifth Pillar of AML/BSA Compliance).

A beneficial owner includes individuals who fit within at least one of the prongs listed below. It is required to have either a control prong or beneficial owner (can be both).

- Any individual who, directly or indirectly, owns 25 percent or more of the legal entity (Ownership Prong); and
- If no individual owns 25 percent or more of the legal entity, at least one individual who has significant responsibility to control, manage, or direct the legal entity (Control Prong).

A legal entity customer includes the following entities created by a filing with a state office or with a Secretary of State: corporations, limited liability companies, limited partnerships, general partnerships, business trusts, any other entity created by a filing with a state office.

Customer Service Triggers for event-driven, risk-based updates to beneficial ownerships are as follows:

- Change in Beneficial Ownership and/or person of significant responsibility
- Change in Legal and/or Doing Business As (dba) Name
- Change in Tax ID Number
- Change in Legal and/or DBA business address
- Change in business phone number
- Change in business website
- Request to ship supplies or future communications to a physical address or email or individual or business other than what is notated on the original merchant application

Risk Department Triggers for event-driven, risk-based updates to beneficial ownerships are as follows:

- Change in Beneficial Ownership and/or person of significant responsibility

- Change in Legal and/or Doing Business As (dba) Name
- Change in Tax ID Number
- Change in Legal and/or DBA business address

5.2 Mitigation and Transaction Monitoring

Transaction laundering is a stage in money laundering that occurs when payments for illicit products or services are processed by a merchant on behalf of a third party who is not the owner of the merchant account. In addition to risk tools NUMBER employs to monitor transactions for fraud, NUMBER contracts with a third-party vendor to provide NUMBER with boarding and monitoring tools that assist in the detection of individuals and/or businesses that may be involved in transaction laundering.

5.3 Identifying Suspicious Transactions

NUMBER will deem a transaction suspicious for the purposes of filing an Incident Reporting Form with its Member Bank under the circumstances listed below. Investigative measures for alerts resulting from transaction monitoring will be performed per Sect. 11 of NUMBER's Risk & Fraud Policies and Procedures document.

- Merchant is fined for transaction laundering under MasterCard Business Risk Assessment and Mitigation Program and/or Visa's Global Brand Protection Program;
- Merchant is a "bust-out" merchant, i.e. a merchant that obtains a merchant account (typically with stolen ID) and establishes a pattern of good behavior or period of dormancy and then, suddenly, disappears after processing stolen credit card information and receiving funding from the processor;
- Cyber-enabled crimes and cyber-events;

Merchant's transaction history evidences that:

- Funds or assets are derived from illegal activity;
- One or more transactions are intended to hide or disguise funds or assets derived from illegal activity;
- One or more transactions are designed to evade the requirements of applicable law, whether through structuring or other means; or
- One or more transactions serve no business or apparent lawful purpose and NUMBER knows of no reasonable explanation for the transaction after examining the available facts.

When analyzing a transaction to determine its validity, NUMBER will consider several factors, including:

- Type of business
- Goods/services associated with the transaction(s)
- Amount of the transaction(s)
- Method used to process the transaction(s)
- Frequency of the transaction(s)
- Origin of the transaction(s)

- Date of the transaction(s)
- Timeframe of the transaction(s); and
- Whether the transaction(s) are consistent with the nature of how the merchant claims to operate his/her business.

NUMBER will also consider the presence of any "red flags." While the presence of a red flag is not necessarily an indication of criminal or even suspicious activity, when a red flag is present the NUMBER underwriting or risk analyst should apply closer scrutiny to determine whether the activity is suspicious or lacking a reasonable business or legal purpose. Examples of "red flags" for both money laundering and terrorist financing in the payment processing industry include:

Account Set-Up:

- Principals of the merchant appear to be unfamiliar with, or lack a clear understanding of the business;
- Principals of the merchant provide deceptive or misleading statements and/or change answers when challenged;
- Lack of reliable third party and/or governmental verification of business or, where appropriate, no government issued identity document, or bureau verification of principals/owners of business;
- The address indicated is identified as a mail drop or other high-risk address, as opposed to a physical street address;
- Proposed transaction volume/refunds/chargebacks are inconsistent with on-site visit or merchant industry/peer group;
- The business is relatively new, with little to no operating history that can be evaluated;
- Entity/owner/officer match entries appearing on applicable watch/sanctions lists.

Transaction and Merchant Monitoring:

- Unusual or changing trends in processing volumes from account opening estimates (e.g. average transaction amount, sales volume, chargeback and refund rates);
- Out of pattern or excessive credit voucher, cardholder refund submitted by merchant without a prior offsetting cardholder sale or without proper authorization obtained, when mandated by the payment card network;
- Lack of charge activity (i.e., monitoring inactive accounts for possible fraudulent diversions);
- Indications that a merchant is being used by a third party;
- Merchant/principals/owners potentially appear on government watch/terror lists.

5.4 Reporting Suspicious Transactions

Any officer, director or employee who suspects a transaction involves unusual activity must complete the Incident Reporting Form and file with NUMBER's AML Compliance Officer immediately upon determining that the activity is suspicious. The Incident Reporting Form should be emailed to ebabcock@easypaysolutions.com.

The Incident Reporting Form should be completed and filed by the AML Compliance Officer with Bank as soon as the detected activity described therein is determined suspicious. Bank will determine if the incident will be filed as a SAR. The Incident Report Form must include, along with the narrative, the following as applicable:

- What prompted NUMBER's investigation of the activity;
- What led NUMBER to deem the activity suspicious and file the Incident Report, to include deviation of contractual parameters;
- Contractual merchant profile detail, i.e., percent card present vs. not present;
- Contractual monthly volume, average ticket, high ticket;
- Details on what led NUMBER's decision to identify the principal(s) as a victim or involved in the activity;
- Copy of personal consumer investigative report if the business owner is suspected of involvement in the suspicious activity;
- Screenshot of the company website or google search page.

Incident Reporting Forms shall be provided by the AML Compliance Officer to Member Bank's SAR Unit. The Incident Reporting Form should be emailed to: keybankoversight@keybank.com

Confidentiality. Unless required to by law, no NUMBER employee is authorized to discuss the filing or the contents of an Incident Reporting Form (Appendix A) with anyone inside or outside of NUMBER without the authorization of NUMBER's AML Compliance Officer. This prohibition does not apply to legal counsel for NUMBER who may make such a disclosure, where necessary, and in NUMBER's interest. Under no circumstances shall the AML Compliance Officer, or any other NUMBER officer, director, or employee notify the individuals identified on the Incident Reporting Form that a SAR was/is/will be filed. Tipping-off the subjects of an Incident Reporting Form can subject NUMBER to fines and violating employees to fines and/or imprisonment.

If it is deemed that a transaction is related to terrorist activity, the AML Compliance Officer will coordinate regulatory/government contact with Bank.

Suspicious Activity Report ("SAR"). An Incident Reporting Form which may result in NUMBER's member bank filing a SAR must be filed where any of the circumstances indicated in Section 5.3 above are present.

Currency Transaction Reports ("CTR"). An Incident Reporting Form which may result in a CTR must be filed by the AML Compliance Officer with the sponsor bank when a transaction or series of transactions involves cash-in and cash-out of more than \$10,000 by the same individual or entity in any one day. Prior to processing such a transaction, the customer/entity name and address must be verified by using government issued identification.

5.5 Record Creation and Retention

NUMBER will retain each Incident Reporting Form and any supporting documents for a period of not less than seven years from the filing date. In the event that NUMBER comes into possession of specific types of records required to be created by a merchant and retained under the AML regulations (such as monetary instrument logs that are used to record the means of purchase of monetary instruments including money orders, cashiers/teller checks, and travelers checks), NUMBER will retain such documents for a period of not less than five years. Additionally, NUMBER will also retain for not less than seven years after account closure other documents provided by merchants during a risk investigation, including government issued identification such as valid driver license/state issued identification cards, passports, military identifications, non-resident alien identification cards, etc.

5.6 Responding to Law Enforcement Requests, Member Bank and Card Network Inquiries

Any and all requests for information by law enforcement agencies will be handled by NUMBER with the highest priority. Any such request must be sent to NUMBER's AML Compliance Officer who will forward the request(s) to NUMBER's legal counsel. All responses must be handled by NUMBER's legal counsel and, where appropriate, NUMBER's AML Compliance Officer. Requests or inquiries from NUMBER's Member Bank and/or card networks shall be handled in accordance with all designated timelines.

See e.g., Discover Network Rules 18.6.2

5.7 Ongoing Training

NUMBER's AML Compliance Officer will conduct at minimum annual training of NUMBER's applicable employees and business partners as necessary for compliance with NUMBER's obligations under this AML Policy. In addition, NUMBER will ensure that all new employees within thirty days of employment must complete NUMBER's AML/OFAC training. NUMBER's AML Compliance Officer is also responsible for educating NUMBER's employees on an ongoing basis as changes to regulations impact NUMBER's AML program/policy.

NUMBER's officers, directors, business partners and applicable employees must notify NUMBER's AML Compliance Officer upon identification of transactions which are prohibited as blocked transactions by the SDN List as updated by the Office of Foreign Assets Control. The SDN list is located at www.treasury.gov and is updated weekly.

5.8 Independent Sales Organization (ISO) / Business Partner / Payment Facilitator

As applicable, NUMBER will screen potential ISOs/Business Partners/Payment Facilitator third parties and perform periodic risk-based audits on an ongoing basis to ensure that satisfactory AML/CTF compliance programs are in place.

5.9 Independent Review of Compliance with AML Policy

Each year, NUMBER will perform an independent review to determine NUMBER's compliance with its obligations under this AML Policy (the "Review"). Under no circumstances will a Review be conducted more than eighteen months from the date of the last Review, and Reviews may be conducted with greater frequency when necessary. The Review shall be conducted by a qualified, independent auditor who is either a NUMBER officer or employee not involved in establishing or performing

NUMBER's ongoing AML compliance processes (auditor), or NUMBER may designate a qualified, external AML auditor. The independent auditor shall report any deficiencies and adverse findings to NUMBER's AML Compliance Officer and NUMBER's CEO and COO no later than 18 months from the date of the previous report.

5.10 Registration with the Financial Crimes Enforcement Network (FinCEN)

On a periodic basis, NUMBER will assess whether its operations constitute a Money Services Business ("MSB"). NUMBER's management will determine if its operations fit the criteria of an MSB that requires registration. If so, NUMBER will register accordingly.

Appendix A — Incident Reporting Form

Member Bank Contact / Person Reporting	
Contact Telephone	
Contact Email Address	
Merchant Name (include d/b/a, a/k/a, etc.)	
Merchant Phone	
Merchant Address	
Merchant Identification Number	
Merchant TIN/EIN	

Individuals Involved — include full name, home address, date of birth, SSN (if available) and their role/relationship (attach additional if necessary):

Individuals involved

Suspicious Activity Information

Date / Date Range of Suspicious Activity	
Dollar Amount of Suspicious Activity	

Provide full details of the suspicious activity in the space below (attach additional if necessary):

Details of suspicious activity

Submission Information

Submitted By	
Contact Phone Number	
Date Submitted to Bank	

Appendix B — Employee Acknowledgement

I acknowledge that I have received a copy of the NUMBER Anti-Money Laundering (AML)/Anti-Terrorist Financing (ATF) Policy version 2.0, which describes important information about NUMBER's commitment to preventing the use of the U.S. financial system for money laundering/terrorist financing and any related unlawful activity. I understand that any questions regarding this manual should be directed to the Human Resources Department.

Since the information, policies and procedures described here are necessarily subject to change, I acknowledge that revisions to this policy may occur and such revised information may supersede, modify or eliminate existing policies.

NUMBER's designated Anti-Money Laundering Officer (AMLO) shall have sole authority to add, delete or adopt revisions to the policies.

I understand and agree that I will read and comply with the policies contained in this Manual and any revisions, am bound by the provisions contained therein, and that my continued employment is contingent on following those policies.

Employee Name (Printed): _____

Employee Signature: _____

Date (MM/DD/YYYY): _____